

August 2014



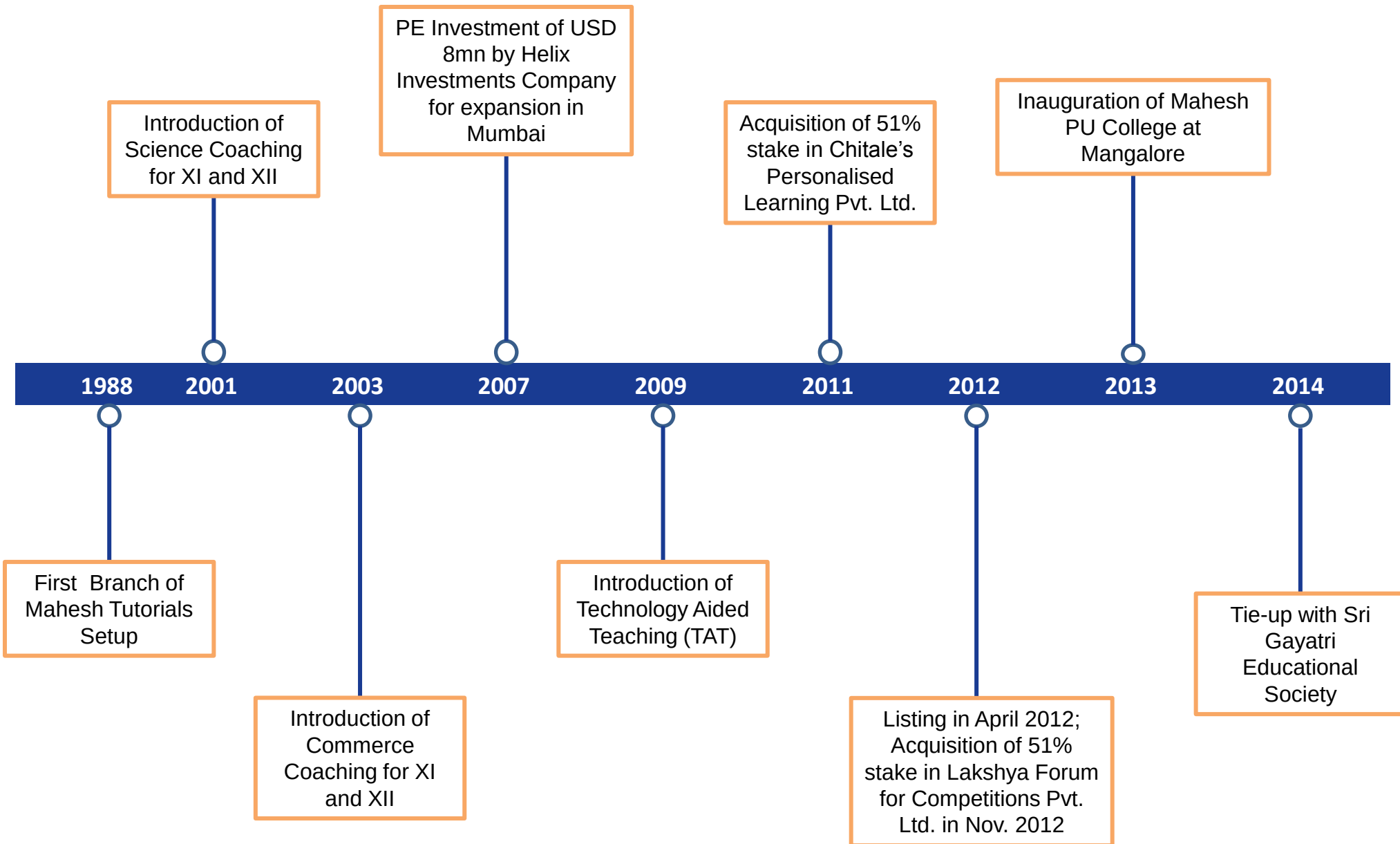
Investor Presentation

-  **Executive Summary**
-  **Key Company Milestones**
-  **Industry in Growth Phase**
-  **Capturing the Entire Value Chain**
-  **Location Count**
-  **Key Differentiators**
-  **Growth Strategy**
-  **Experienced Management Team**
-  **Financial Overview and Operating Leverage**
-  **Shareholding Pattern**

Executive Summary

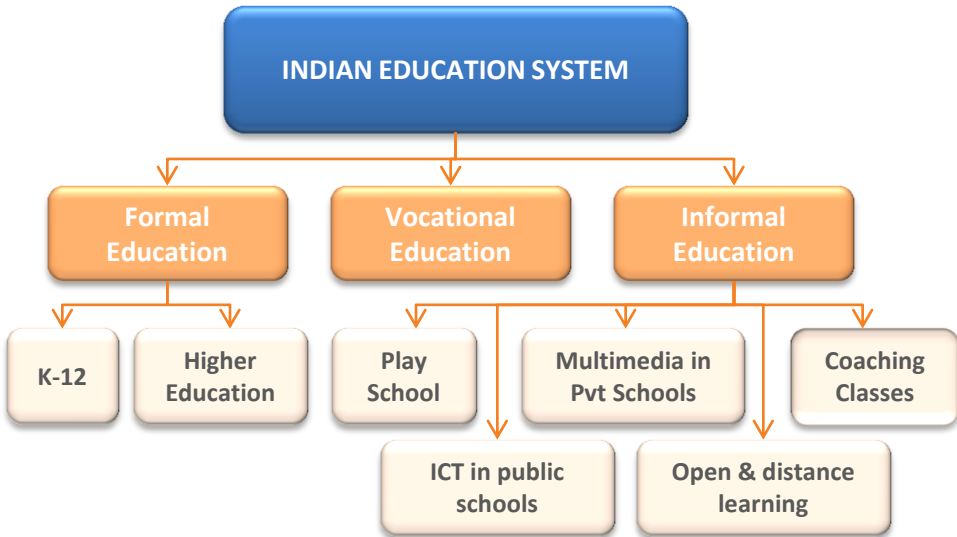
- 📖 Mahesh Tutorials – a 26 year old brand; Coaching services being provided by Mr. Mahesh Shetty since 1988 under the brand name 'MAHESH TUTORIALS'
- 📖 Operates under three business verticals – School, Science and Commerce; Diversified product offerings catering to students right from Std. VIII to students appearing for Engineering and Medical Entrance Exams (including IIT Entrance), exams for CA course and MBA aspirants
- 📖 Geographical presence in **7** states/union territories including Maharashtra, Karnataka, Tamil Nadu, Gujarat, Punjab, Haryana and Chandigarh
- 📖 Network consists of **133** coaching locations with **223** Centers (Points of Sale)
- 📖 **80,829** students serviced in FY14; Total headcount strength of **2,100+** with **1,000+** faculty members
- 📖 Focus on result oriented quality coaching with technology enabled classrooms and digitized content and Emphasis on teacher training through intensive workshops
- 📖 Experienced management team consisting of senior professionals having strong background in academics and administration
- 📖 Asset light business model; zero debt with negative working capital
- 📖 Shareholding pattern: ~57% held by Promoter/Directors/KMPs and ~24% held by DIIs/FIIs

Company Milestones



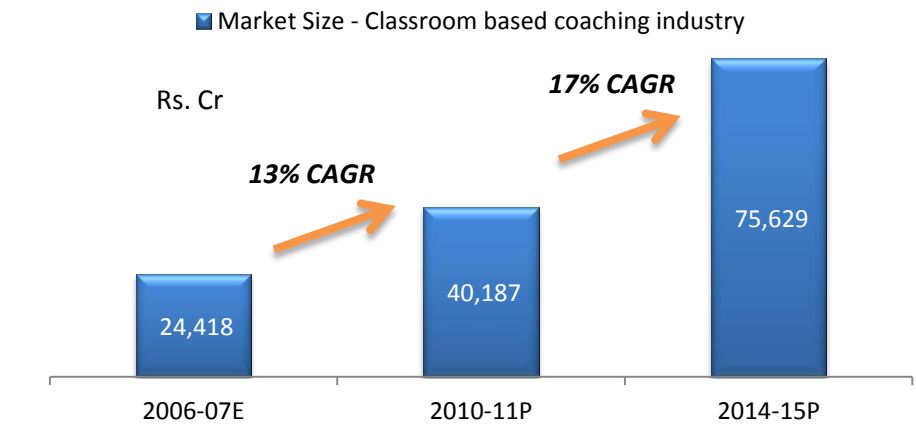
Industry in a growth phase

Large Addressable Market



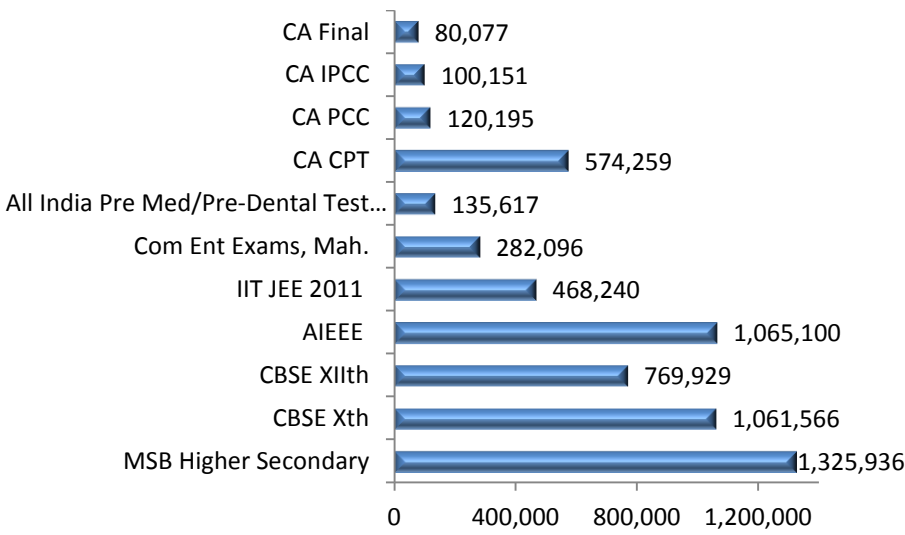
Source: Crisil

The Indian coaching industry is expected to grow from Rs. 40,187 crore in 2010-11 to Rs. 75,629 crore in 2014-15.



Source: Crisil

A large market opportunity
No. of Students appearing in various examinations



Source: Websites of JEE, IIT Delhi, AIEEE, MHRD, Annual report of ICAI, Maharashtra Directorate Of Medical Education and Research

Strong structural factors aiding the growth of this sector

Rising disposable income

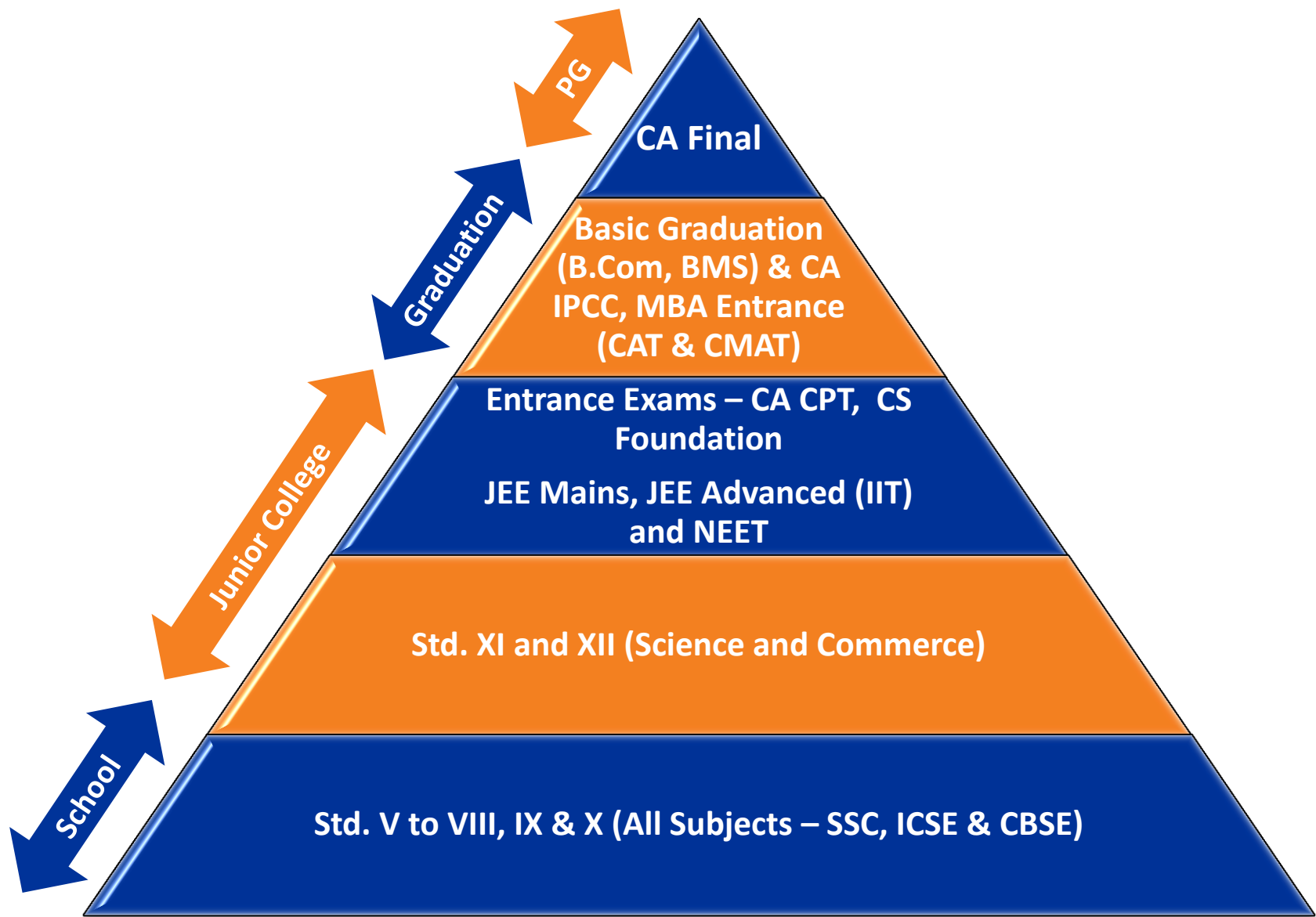
Increasing household spend on education

Infra bottlenecks for formal education

Increasing private sector participation

Growth in addressable market

Capturing the Entire Value Chain



A coaching services provider for students...

 In the **Secondary and Higher Secondary School**

 Preparing for **various competitive examinations**



 Pursuing **graduate degrees**

 Undertaking **CA examinations.**



School Section

-  IXth and Xth standard
-  Maharashtra, Gujarat, Karnataka State Board
-  CBSE
-  ICSE
-  INK (V to VIII)



Science Section

-  XIth and XIIth standard
-  Test prep for the engineering and medical entrance examinations (JEE Mains and JEE Advanced, NEET)



Commerce Section

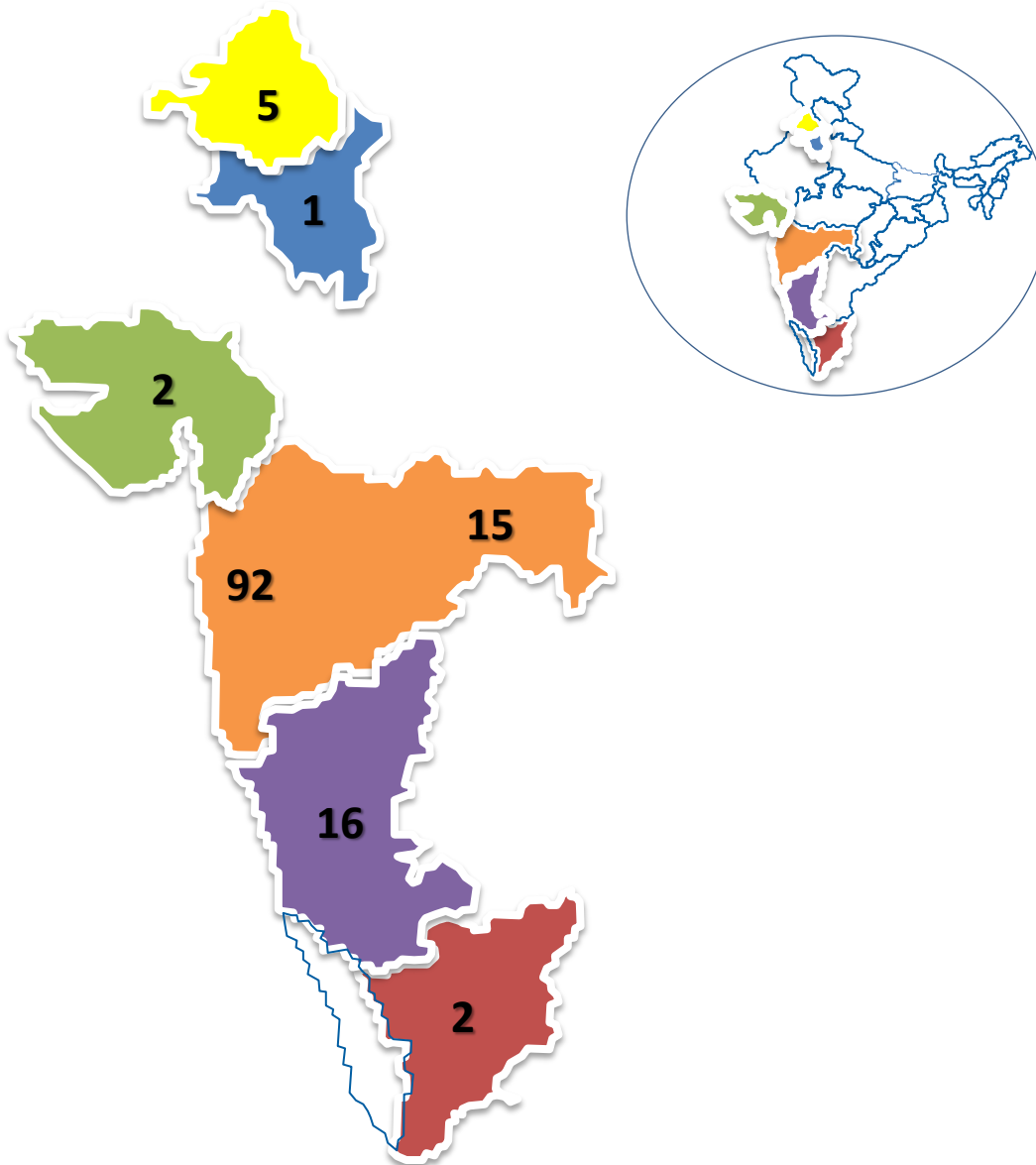
-  XIth and XIIth standard
-  CA-IPCC , CA Final, CA-CPT
-  CS-Entrance
-  Bachelor degree in Commerce (UVA)



Others

-  Coaching for MBA Entrance i.e. CAT, CMAT
-  Coaching services in Dubai
-  Government Programmes
-  Sale of Content under 'Robomate' brand

MT Educare – a Pan India Player



No. of Locations over the years

FY	No. of Locations
FY 14	136
FY 13	122
FY 12	114
FY 11	103

Key Differentiators

Well Recognized Brand & Experience



- ✓ 2,055 scored $\geq 90\%$ in Xth Std. SSC Exam; 1st in Mumbai
- ✓ 6th AIR in JEE Advanced ; 61st AIR in AIPMT (3rd in Punjab)
- ✓ 2nd in HSC Exam in Science; 1st in HSC Exam in Commerce

A.Y 2014

Mar 2014

Organized and Diversified Player



- ✓ 92 locations in Mumbai
- ✓ Currently operates 38 locations in Rest of Maharashtra, T.N., Gujarat, Karnataka , Punjab, Haryana and Chandigarh

March 31, 2014

Large Pool of Quality Faculty Members



- ✓ 1,000+ faculty members
- ✓ Multiple faculty teaching each subject
- ✓ 300+ faculty Post Graduates (CA, MBA, B.Ed)
- ✓ Continuous training

Corporatized Structure and Experienced Management Team



- ✓ Increased visibility amongst governments and international educational institutions
- ✓ Assisted in raising capital from private equity investors

Result Oriented Quality Methods of Coaching



- ✓ Scientific coaching methods and system
- ✓ Focus on conceptual knowledge and holistic development
- ✓ Technology to supplement coaching via TAT and Robomate

No one man show or 'Star Teacher' concept

-  Personalized attention by way of regular parent teacher meetings, day-to-day assistance, doubt solving during exam time
-  Teaching with the help of digital content developed in-house by expert faculties after extensive brain storming
-  Increasing focus on assessments, learning management systems
-  Exhaustive test series with mock board exams
-  Superior study material developed along with Chetana Publications for School section (MKeys)
-  State of the art infrastructure facilities at the centers

Implementing Flipped Classroom

Student studies at home & comes with basic preparation

Teacher teaches in the classroom

Discussion, Learning & Evaluation happens **in the classroom**

Advantages

- Active learning in classroom vs. passive earlier
- Increased ability of learners to control pace
- Use of 21st century technology
- Increased focus on higher order skills and critical thinking
- Increased social interaction

Value Added Services

Career Counselling:

Through seminars and exhibitions

Symphony:

A mix of music, yoga and diet controlling techniques to reduce stress, enhance memory and improve communication skills.

Hum Se Poocho:

A 24 hour helpline during exam time

Counselling Sessions:

To facilitate communication between the teachers, students and parents on the students' requirements.

Growth Strategy

Focus on National Level Exams

Pan-India strategy with focus on nationwide common entrance and professional examinations such as CA, IIT JEE Advanced, JEE Mains, CAT, CMAT etc.

Robomate

Technology driven growth through sale of digital content
Higher scalability allowing the company to tap newer geographies across India

Geographical & Vertical Risk Management

Expansion outside Mumbai reducing geographical concentration
Future growth expected from Karnataka, Rest of Maharashtra and North India
Science & Commerce to increasingly contribute to total revenues

Asset light college tie-ups

Entry and expansion into college tie-ups with test prep in college campuses
Asset light with lower infrastructure spend than regular centres
Helps attract large volumes

1

3

2

4

- 📖 Overall market trend moving towards IX-X Combo, IX-X Combo admissions up from ~2,000 in FY 09 to ~7,500+
- 📖 Focus on developing the CBSE & ICSE business verticals as a pillar of strength to enable rapid scalability of operations in the school segment across all states in India
- 📖 Our unique product “Robomate” with entire content in digital form developed in-house by our faculties from the school section already launched this year and has received a good response from our students. This has encouraged us to now make Robomate available even for students who have not enrolled with us. Robomate sale expected to have a snowball effect on increasing footfalls at our centres
- 📖 Expansion in Maharashtra outside Mumbai with expanding in current cities like Pune and Kolhapur
- 📖 INK Model already launched for Std. V-VIII for Stateboard, ICSE and CBSE in 13-14; Expecting this market to grow over the next few years

About INK Model:

- Two-way communication using a web camera enabling face-to-face interaction with the faculty
- Allows doubt solving and basic testing and evaluation over the internet
- Limited classroom based coaching and counselling

📖 With importance now being provided to Boards and JEE Mains for admission into the IITs/other engineering institutes and JEE Mains becoming a common engineering entrance exam across states, this new exam pattern plays to the advantage of Mahesh Tutorials Science.

📖 Coaching for JEE Advanced (IIT Entrance Exam) in Mumbai under the brand 'Lakshya' launched in FY 13-14

📖 Lakshya now expanding to Pune, Kolhapur and Nashik

📖 Promising admissions growth from 330 in last academic year to 700+ in current year

📖 Launch of Foundation courses (for Std. VIII-X) in Mumbai to act as feeder for JEE Advanced batches

📖 Plans to launch JEE Advanced coaching in Karnataka in the next academic session

📖 Acquired 51% stake in Lakshya Forum for Competitions Pvt. Ltd. with an option to acquire the balance stake up to June 2018

📖 Recording of live lectures for JEE Advanced Robomate started

📖 6th All India Rank from Chandigarh branch expected to generate positive response in North India market

About Lakshya:

- Lakshya provides coaching to students appearing for IIT and medical entrance examinations
- Lakshya started operations in 2006 in Patiala and currently operates from 6 locations in Punjab and Haryana

Growth Strategy – Science Division (Karnataka)



The Karnataka Pre-University (PU) College Tie-up Model is one of the most important growth areas under the Science vertical. Today, 'Mahesh PU' brand is a well recognised brand in the state of Karnataka.

Revenue Streams

Mangalore

- Test Prep Fee
- College Rent
- Hostel Rent
- College Management Fee
- Hostel Management Fee

Other PU Colleges

- Test Prep Fee
- College Management Fee

Services rendered in a standard PU College:

- Test prep coaching for engineering and medical entrance examinations in college premises after college hours; every college student is a student enrolled with MT Educare for test prep
- Management services provided viz. –
 - Content for Std. XI and Std. XII
 - Sourcing of teachers and teacher training
 - Time-table management
 - Academic MIS

Standard PU College Revenue Sharing Model:

- In a standard PU College Model, MT Educare Ltd. operates on a revenue sharing basis with the respective college trust



State of the art PU college at Mangalore with a capacity of 3,000 students ready. Hostel facility with a planned capacity of 900 students, Phase II operational from June 2014 with 550+ students



Mangalore PU College campus acts as a proof of concept and is instrumental in all future tie-ups



14 operational college tie-ups across Karnataka, at Mangalore, Udipi, Tumkur, Hubli, Bengaluru (3), Kolar, Dharwad, Chitradurga, Davangere, Belgaum, Mysore and Gulbarga



Proposing to tie-up with total 30 colleges by 17-18

-  Focus on expanding MT Educare's reach in the CA coaching market throughout India

-  Chennai developed as a “Centre of Excellence” for CA with an eye on the South India market. Students serviced grew from 3,150 in FY 11 to 8,538 in FY 14

-  Separate batches for CA oriented (MT Pro) and Other students (MT UVA) for focussed attention; Std. XI-XII Combo gaining traction in Mumbai and Pune. Acts as a feeder for admissions in CPT and Basic Graduation. Coaching for Std. XI and XII launched in Pune, now expanding to Nashik

-  Started batches for CS-Executive examination

-  Commerce Robomate Updates:
 -  Robomate for CA Final having recorded live lectures and doubt solving support launched in FY 14
 -  Robomate for CA CPT ready for sale and CA-IPCC to be ready by September '14
 -  Std. XI Robomate ready and Std. XII under development

Experienced Management Team

Mahesh Shetty
(Chairman and MD)

- Has over 29 years of experience and holds a bachelor's degree in science and education from the Mumbai University. He was awarded the 'Pride of the Nation Award' by the All India Achievers Association in the year 2008

Naarayanan Iyer
(Non Executive Director)

- A Non Independent, Non Executive Director of our Company. He has been associated with our Company since its incorporation. He holds a bachelor's degree in mechanical engineering from the University of Madras.
- Has 23 years of experience in the education sector.

Chhaya Shastri
(Non Executive Director)

- Holds a bachelor's degree in dental sciences, a bachelor's degree in law and a post graduate degree in management education from IIM, Calcutta.
- Has over 16 years of experience in various sectors such as media, healthcare, constructions and manufacturing and has played a major role in establishing the corporate entity and expansion plans of the Company

Drushti Desai
(Independent, Non Executive Director)

- A fellow chartered accountant of ICAI and holds a bachelor's degree in commerce from Sydenham College of Commerce and Economics, Mumbai.
- Has 15 years of experience in the field chartered accountancy and taxation. She is a partner of Banshi S. Mehta & Co., B. S. Mehta & Co., and BSM Associates, Chartered Accountants.

Yatin Samant,
(Independent, Non Executive Director)

- Holds a bachelor's degree in engineering from Veermata Jijabai Institute of Technology, Mumbai and a master's degree in management studies from Jamnalal Bajaj Institute of Management Sciences, Mumbai.
- Has over 27 years of varied experience in sales, marketing, business development and general management across industries. He presently, works as a business consultant and also conducts developmental workshops for working executives and teachers at various management institutes in Bangalore.

Uday Lajmi
(Independent, Non Executive Director)

- Holds a master's degree in marketing management from the University of Mumbai and a doctorate degree in physical chemistry from the Institute of Technology Mumbai.
- Has over 20 years of experience in various capacities in industry and academics. He is presently, the dean - management education & assistant vice president (training & development) with Reliance Infrastructure Limited.

Chandresh Fooria
(Business Head-
Science Section)

-  Holds a bachelor's degree in engineering (instrumentation) from the Swami Vivekananda College of Engineering, Mumbai.
-  Has over 19 years of experience in the field of teaching and administration.

Anish Thakkar
(Business Head-
Commerce Section)

-  A member of the Institute of Chartered Accountants of India. He joined MT Educare in 2003
-  Has over 17 years of experience.

Sujeet Koyoot
(Business Head-
Karnataka)

-  Holds a bachelor's degree in science and education and a post graduate degree in science (electronics) from the University of Mumbai.
-  Has over 14 years of experience in the field of teaching and administration.

Murali Subramanian
(Business Head-
School)

-  Holds a bachelor's degree in engineering (electronics) from University of Mumbai.
-  Has over 15 years of experience and has been associated with the company since its inception.

Shrenik Kotecha
(Business Head-
UVA)

-  Holds a master's degree in commerce from R.A. Podar College in Mumbai and has completed his MBA from D.Y.Patil College.
-  Before joining the company, he was associated with Thakkers Eskays as a partner.
-  Has special expertise in mentoring students, business networking and new business development.

Vipul Shah
(Head -
Procurement)

-  Holds a bachelor's degree in computer engineering University of Mumbai and has completed masters in marketing management.
-  Also looks after marketing and logistics

Mahtab Khan
(Head- CSR)

-  Holds a bachelor's degree in science and education and a post graduate degree in science (electronics) from the University of Mumbai.
-  Has been associated with the company since incorporation

Parag Chitale
(Business Head -
MBA)

-  Holds a master's in business administration (MBA) from Jamnalal Bajaj Institute of Management Studies (JBIMS)
-  Founder – Promoter of Chitale's Personalised Learning Pvt. Ltd. (CPLPL)

**Yagnesh
Sanghrajka**
(Chief Financial
Officer)

-  Has over 19 years of experience especially in the services sector, in financial strategy planning, investor relations, management information reporting and corporate finance.
-  Before joining the Company, worked with large corporate houses (Hinduja Group) and a leading PE firm
-  Handles Finance & Accounts, Investor Relations and Acquisitions / Tie-ups

Sudhakar CVS
(Chief Technology
Officer)

-  18+ years of experience in ICT, SAP and other ERP Assignments, mobile and web applications for business
-  Has worked with huge conglomerates like Aditya Birla Group and companies like Bayer, LG, , BASF, IOC, Hoechst, TTML etc.
-  Has expertise in project management, technology innovations, cost optimisation and resource management
-  Handles ICT and Social and Digital Media Initiatives

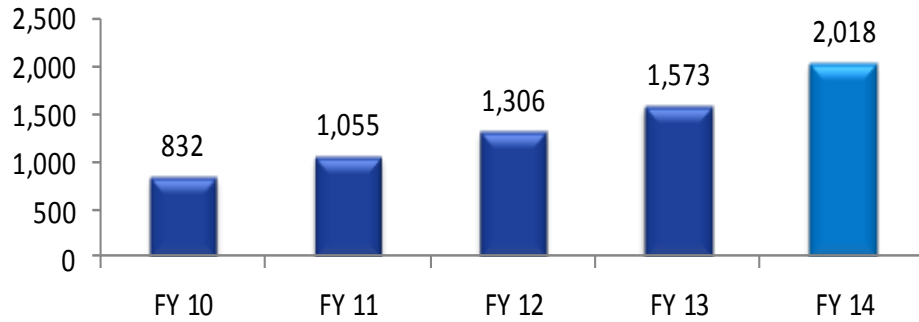
Ashwin Patel
(Company Secretary
and Compliance
Officer)

-  A member of the Institute of Company Secretaries in India and has a bachelor's degree in law from Mumbai University
-  Has over 20 years of experience
-  Handles Secretarial and Legal function

Financial Overview

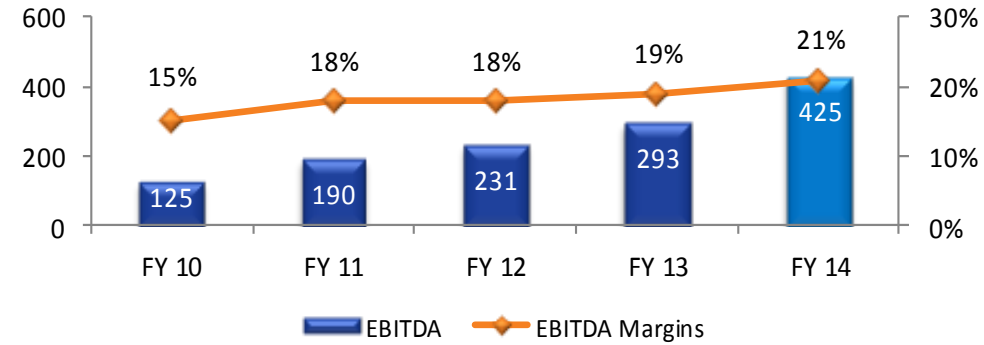
Key Financials

Revenue (INR Mn)



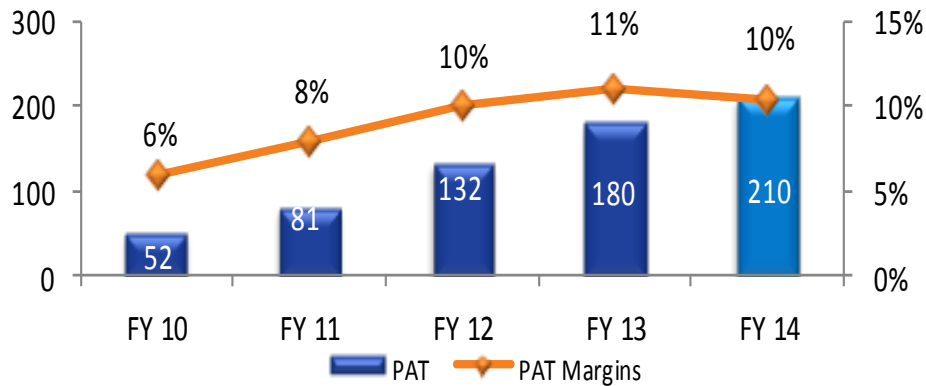
FY 10-14: 25% CAGR

EBITDA (INR Mn)



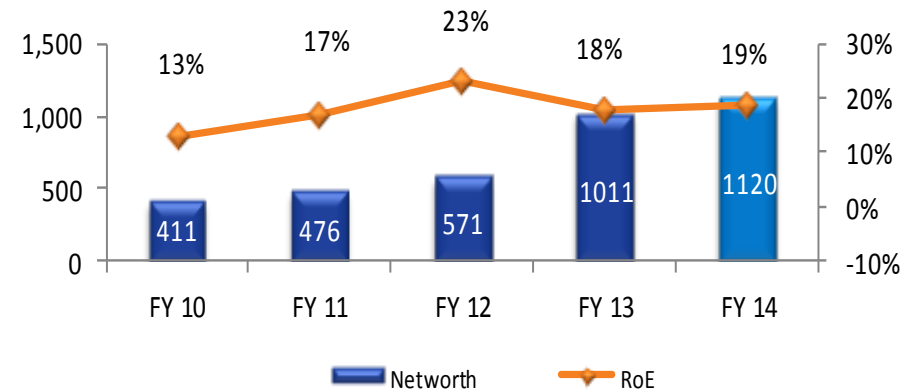
FY10-14: 36% CAGR

PAT (INR Mn)



FY10-14: 42% CAGR

Networth (INR Mn)



QUARTERLY AND HALF YEARLY FINANCIALS – CONSOLIDATED

INR in Lakhs

Particulars	For the quarter ended 30th June 2014	For the quarter ended 30th June 2013	For the year ended 31 st March 2014
Fee Income	5,055.09	4,587.53	19,009.42
Other Operating Income	374.06	199.37	1,170.85
Total Revenue	5,429.15	4,786.90	20,180.27
Cost of Goods Sold	6.21	-	39.25
Direct Costs	2,853.41	2,661.51	9,954.77
Personnel Costs	648.15	658.91	2,855.76
SD&A Costs	1,116.10	845.44	3,095.66
EBIDTA	805.28	621.04	4,234.83
Finance Costs	82.64	0.28	0.75
Depreciation	(210.60)	275.91	1,283.62
Other Income	125.01	100.60	238.77
PBT	1,058.25	445.45	3,189.23
Income Tax	331.61	142.30	1,113.54
PAT (Before Minority Int.)	726.64	303.15	2,075.69
Minority Interest	(37.77)	1.57	(27.59)
PAT	764.41	301.58	2,103.28
Depreciation Gain	388.47	-	(27.59)
Adjusted PAT	375.94	301.58	2,103.28

Growth y-o-y

13.4%

24.7%

Consolidated PAT for the quarter ended June 30, 2014 includes one time gain of change in depreciation policy and useful life of depreciable fixed assets of Rs. 388.47 lakhs on net of tax basis

Division Wise Revenue - Consolidated

(Revenue - INR in lakhs)

School		Q1 FY 15	Q1 FY 14	FY 14
	Revenue	2,496	2,146	8,801
	No. of Students Serviced*	23,231	22,530	34,841

Science		Q1 FY 15	Q1 FY 14	FY 14
	Revenue	1,648	1,371	5,028
	No. of Students Serviced*	9,967	8,565	14,175

Includes revenue from Science (Mah), Karnataka, Lakshya (Mumbai and North India)

Robomate		Q1 FY 15	Q1 FY 14	FY 14
	Revenue	38	-	57
	Robomate Revenue from sale to non-MT students			

Commerce		Q1 FY 15	Q1 FY 14	FY 14
	Revenue	882	870	3,718
	No. of Students Serviced*	11,302	12,016	25,178

CPLC		Q1 FY 15	Q1 FY 14	FY 14
	Revenue	98	103	317
	No. of Students Serviced*	1,251	1,189	2,215

Others		Q1 FY 15	Q1 FY 14	FY 14
	Revenue	267	302	1,022
	Others consists of income from management fees, Dubai, Govt. Projects & Franchisee Income.			

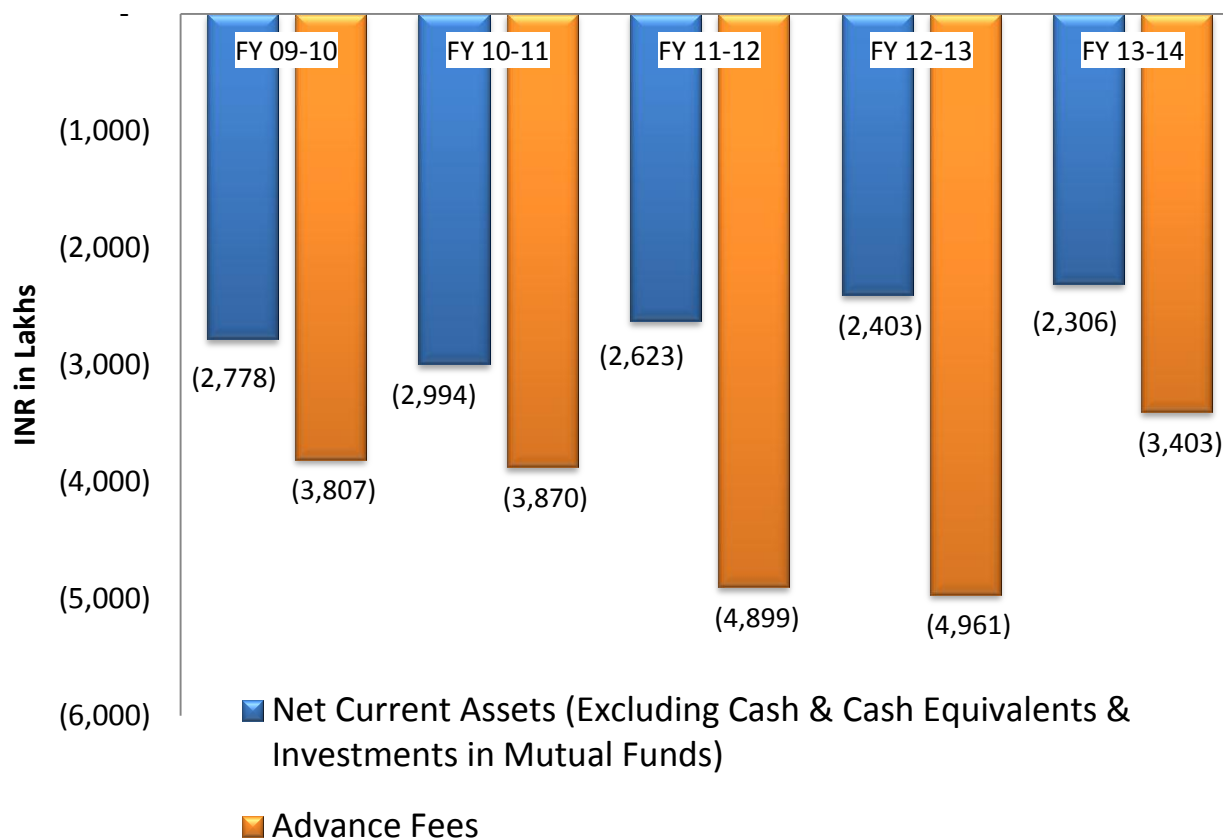
	Q1 FY 15	Q1 FY 14	FY 14
Total Students Serviced	45,751	44,300	80,829

*No. of Students Serviced represents students coached for a course during the period under consideration.

While a student is included in the no. of students serviced from the start of the course, the corresponding revenue for that student is accrued evenly over the course duration.

Thus, the revenue recognized for the student builds up as the financial year progresses which is reflected by the annual average fee realization per student being higher than the average fee realization for the interim periods. The average fee realization per student serviced for the period under consideration is not comparable with the average fee realization for the full year.

Operating at negative working capital



Utilization of IPO Proceeds:

Out of INR 3,500 lakhs raised via the Initial Public Offer (IPO), as of June 30, 2014 INR 3,500.00 lakhs have been utilized towards the objects of the issue.

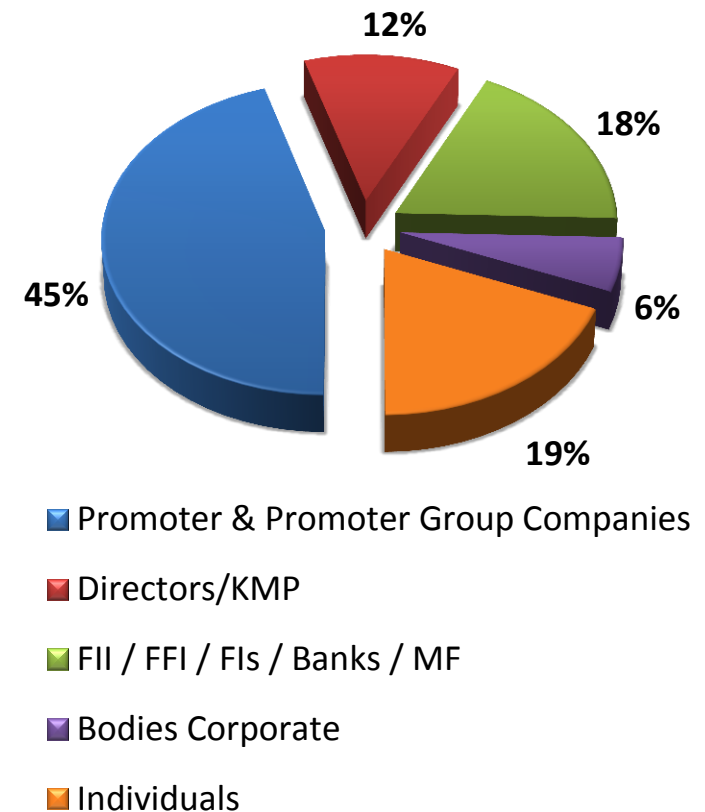
Cash Balances:

The cash and cash equivalents (including current investments) as on June 30, 2014 is INR 1,577.31 lakhs.

INR Mn	FY10	FY11	FY12	FY 13	FY 14
Total Operating Income	832	1055	1306	1573	2018
Total Income	858	1076	1346	1619	2042
EBITDA	125	190	231	293	423
<i>EBITDA Margins</i>	<i>15%</i>	<i>18%</i>	<i>18%</i>	<i>19%</i>	<i>21%</i>
Profit Before Tax	70	128	192	254	320
<i>PBT Margin</i>	<i>8%</i>	<i>12%</i>	<i>15%</i>	<i>16%</i>	<i>16%</i>
PAT	52	83	132	180	210
<i>PAT Margins</i>	<i>6%</i>	<i>8%</i>	<i>10%</i>	<i>11%</i>	<i>10%</i>
Networth	411	476	571	1011	1120
<i>Growth Rate*</i>	<i>13%</i>	<i>16%</i>	<i>20%</i>	<i>77%</i>	<i>14%</i>
Capital Employed	411	521	571	1011	1120
RoE *	13%	16%	23%	18%	19%

Shareholding Pattern

Category	% Share-holding
Promoter & Promoter Group	45.3
Directors/Top Management	11.9
Mutual Funds / FI / FII / Banks	18.3
Bodies Corporate	5.6
Large / Small Individual Investors	18.9
Total	100.0





Thank You

Appendix

Our Brands

